

Appendix 1

In this Appendix underlining indicates new text and striking through indicates deleted text.

Some text that is not being amended is included for information only.



The DFSA Rulebook

General Module

(GEN)

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3. FINANCIAL PROMOTIONS

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3.2 Overview

3.2.1 The Rules in this chapter are made for the purposes of the Financial Promotions Prohibition in Article 41A of the Regulatory Law.

Guidance

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7. GEN Chapter 3A (Crypto Token requirements) contains several prohibitions that apply to making or approving Financial Promotions relating to particular Crypto Tokens. This includes Financial Promotions relating to Crypto Tokens that are not ~~Recognised~~ Suitable Crypto Tokens, Algorithmic Tokens and Privacy Tokens and Devices.

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3A. CRYPTO TOKEN REQUIREMENTS

Guidance

1. A Crypto Token is defined in section A2.5 of Appendix 2 of these Rules.
2. Under chapter 2, only certain Financial Services directly apply to Crypto Tokens: Dealing in Investments as Principal; Dealing in Investments as Agent; Arranging Deals in Investments; Managing Assets; Advising on Financial Products; Providing Custody; Arranging Custody; Operating a Clearing House and Operating a Multilateral Trading Facility. However, other Financial Services may indirectly relate to a Crypto Token. For example, a Fund Manager may manage a Collective Investment Fund that invests in a Crypto Token, an Authorised Firm may (subject to the express restrictions in COB 15.6) Provide Credit to, or Arrange Credit for, a non-retail Crypto Token investor or a Money Services Provider may use a Crypto Token in limited circumstances (see Rule 3A.2.5).
3. Under chapter 2A, a Crypto Token is a Financial Product to which the general prohibitions against misconduct in Article 41B of the Regulatory Law apply.
4. Chapter 3 relating to Financial Promotions applies to Crypto Tokens.
5. Other parts of GEN will also apply to Financial Services related to Crypto Tokens.
6. This chapter sets out several requirements relating to Crypto Tokens that apply across different Financial Services and activities (e.g. Financial Promotions and Offers to the Public).

3A.1 Definitions

3A.1.1 In this chapter:

- (a) "Algorithmic Token" means a Crypto Token which uses, or purports to use, an algorithm to increase or decrease the supply of Crypto Tokens in order to stabilise its price or reduce volatility in its price;
- (b) ~~"application" means an application to the DFSA for recognition of a Crypto Token;~~
- (c) "Privacy Device" means any technology, Digital Wallet or other mechanism or device (excluding a VPN), which has any feature or features used, or intended to be used, to hide, anonymise, obscure or prevent the tracing of any of the following information:
 - (i) a Crypto Token transaction;
 - (ii) the identity of the holder of a Crypto Token;
 - (iii) the cryptographic key associated with a person;
 - (iv) the identity of parties to a Crypto Token transaction;
 - (v) the value of a Crypto Token transaction; or
 - (vi) the beneficial owner of a Crypto Token;
- ~~(d)~~(c) "Privacy Token" means a Crypto Token where the Crypto Token or the DLT or other similar technology used for the Crypto Token, has any feature or features that are used, or intended to be used, to hide, anonymise, obscure or prevent the tracing of any of the information referred to in (c)(i) to (vi);
- (e) ~~"Recognised Crypto Token" means a Crypto Token which:~~
 - ~~(i) is included on the Initial List published by the DFSA under section 3A.4; or~~
 - ~~(ii) the DFSA has recognised under Rule 3A.3.4;~~
- (f) ~~"recognition" means recognition of a Crypto Token by the DFSA under section 3A.3; and~~
- ~~(g)~~(d) "VPN" means a virtual private network that creates a safe, encrypted online connection for internet users.

3A.1.2 (1) For the purposes of this chapter, a Fund invests in a Crypto Token if:

- (a) any of its property includes the Crypto Token;
- (b) it has a derivative exposure to the Crypto Token;
- (c) it tracks an index that includes the Crypto Token; or
- (d) it invests in another Fund or entity which:
 - (i) has property that includes the Crypto Token;

- (ii) has a derivative exposure to the Crypto Token; or
 - (iii) tracks an index that includes the Crypto Token,
- (2) An investment in another Fund or entity referred to in (1)(d) is to be disregarded under that paragraph if:
- (a) the total aggregate exposure of that other Fund or entity under (d)(i), (ii) and (iii) to all Crypto Tokens does not exceed 5% of the gross value of the Fund or entity; or
 - (b) the exposure of that other Fund or entity under (d)(i) or (ii) to the Crypto Token results solely from tracking an index other than an index that tracks the Crypto Token.

3A.1.3 For the purposes of this chapter, a Derivative or instrument relates to a Crypto Token if the value of the Derivative or instrument is determined by reference to:

- (a) the Crypto Token; or
- (b) an index that includes the Crypto Token.

3A.2 Prohibitions relating to Crypto Tokens

Only ~~Recognised~~ Suitable Crypto Tokens to be used in the DIFC

- 3A.2.1** (1) A Person must not engage in any of the following activities in or from the DIFC in relation to a Crypto Token unless ~~it is a Recognised Crypto Token~~ the conditions in (2) are met:
- (a) carry on a Financial Service relating to the Crypto Token;
 - (b) make or approve a Financial Promotion relating to the Crypto Token;
 - (c) Offer to the Public the Crypto Token; or
 - (d) ~~carry on an activity referred to in (a), (b) or (c)~~ any of the following activities in relation to a Fund that invests in the Crypto Token:
 - (i) Managing a Collective Investment Fund;
 - (ii) Providing Trust Services;
 - (iii) Providing Fund Administration;
 - (iv) Acting as the Trustee of a Fund; or
 - (v) an activity referred to in (b) or (c); or
 - (e) carry on an activity referred to in (a), (b) or (c) in respect of a Derivative or instrument relating to the Crypto Token.

- (2) The conditions in (1) are that:
- (a) in the case of a Crypto Token other than a Fiat Crypto Token, the Person has undertaken a prior assessment of the Crypto Token and concluded on reasonable grounds, having had regard to the matters in (3) and any other relevant matters, that the Crypto Token is suitable for use by that Person in relation to the relevant activity referred to in (1)(a) to (e); and
 - (b) in the case of a Fiat Crypto Token, the DFSA is satisfied that the Fiat Crypto Token is suitable for use in the DIFC.
- (3) The matters referred to in (2)(a) are:
- (a) the characteristics of the Crypto Token, including as regards its purpose, governance arrangements and founders;
 - (b) the regulatory status of the Crypto Token in other jurisdictions, including whether it has been assessed or approved for use by a Financial Services Regulator;
 - (c) the size, liquidity and trading history of the market for the Crypto Token globally;
 - (d) the technology used in connection with the Crypto Token; and
 - (e) whether the use of the Crypto Token could prevent the Person from complying with legislation administered by the DFSA.
- ~~(2)(4)~~ The prohibition in (1)(a) does not apply to an Authorised Person to the extent that it Provides Custody of a Crypto Token.
- ~~(3)~~ The prohibition in (1)(d) does not apply in relation to a Fund if:
- ~~(a)~~ it is established or domiciled in the DIFC and is a Qualified Investor Fund;
 - ~~(b)~~ it invests not more than 30% of the gross asset value of the Fund in Crypto Tokens that are not Recognised Crypto Tokens; and
 - ~~(c)~~ its Fund Manager:
 - ~~(i)~~ provides Unitholders, upon request, with relevant information about the main characteristics of and risks associated with the investment in Crypto Tokens that are not Recognised Crypto Tokens; and
 - ~~(ii)~~ conducts daily valuations of the Fund's investments in Crypto Tokens that are not Recognised Crypto Tokens and keeps a record of those valuations.

3A.2.1A A Person conducting an activity referred to in Rule 3A.2.1(1)(a) to (e) in relation to a Crypto Token that is not a Fiat Crypto Token must:

- (a) maintain in a clear and prominent position on its website a current list of all the Crypto Tokens it has assessed to be suitable under Rule 3A.2.1(2)(a); the list must include:
 - (i) the name and ticker symbol of the Crypto Token; and
 - (ii) the DLT or other technology on which the Crypto Token operates;
- (b) continuously monitor and regularly review its assessment of the Crypto Token under Rule 3A.2.1(2)(a) and, if it is no longer satisfied of the matters set out in Rule 3A.2.1(3) in relation to the Crypto Token immediately:
 - (i) cease any activity referred to in Rule 3A.2.1(1)(a) to (e) in relation to that Crypto Token, or where this is not possible, take reasonable steps to cease the activity; and
 - (ii) update the list in (a);
- (c) be able to demonstrate to the DFSA's satisfaction the grounds upon which it has assessed the Crypto Token to be suitable under Rule 3A.2.1(2)(a) and (b); and
- (d) if it is an Authorised Person, complete the Crypto Token information return on the DFSA electronic portal for each month and submit the return to the DFSA within 14 days of the following month.

Guidance

1. ~~Rule 3A.2.1 prohibits activities from being carried on in relation to a Crypto Token unless the Crypto Token is a Recognised Crypto Token i.e. a Crypto Token the DFSA has recognised under section 3A.3 or 3A.4. Section 3A.3 sets out the procedures for applying for a Crypto Token to be a Recognised Crypto Token and the criteria that must be met for the DFSA to recognise a Crypto Token.~~
2. ~~The prohibition against carrying on a Financial Service relating to an unrecognised Crypto Token does not apply to an Authorised Person that Provides Custody of a Crypto Token. For example, a Custodian may receive an 'airdrop' of Crypto Tokens for promotional purposes when the Crypto Tokens have not been recognised. Similarly, due to a fork which results in the splitting of blockchains a Custodian may find that it is holding Crypto Tokens that have not been recognised. The Custodian may therefore hold unrecognised Crypto Tokens without contravening the Rule.~~
3. ~~Whether a Crypto Token remains recognised after a fork in the blockchain will depend on the effect of the fork on the existing Crypto Token. If new Crypto Tokens are created they may no longer be covered by an existing recognition. For that reason, an applicant should identify any proposed fork and its effect, so that recognition can cover this contingency.~~
4. ~~The recognition of a Crypto Token by the DFSA does not cover any representation of the Crypto Token in the form of another Crypto Token, such as a wrapped token. Therefore, if a Person would like the representation of the Crypto Token also to be recognised in the DIFC, it should apply under Rule 3A.3.1.~~
5. ~~The prohibition also applies in relation to Funds that invest in Crypto Tokens. An Authorised Firm is also prohibited from managing, offering or promoting a Fund that invests in unrecognised Crypto Tokens which have not been considered suitable in accordance with Rule 3A.2.1(2) except as specified in Rule 3A.2.1(3). This prohibition~~

~~applies covers not only where Funds that invest directly in unrecognised Crypto Tokens, but also where they those that have an exposure using derivatives or that track an index that includes unrecognised Crypto Tokens. It also applies to indirect investment in unrecognised Crypto Tokens such as by the use of Feeder Funds or Exchange Traded Funds (see Rule 3A.1.2). Similarly, an Authorised Firm that is Managing Assets may only provide discretionary management of a Crypto Token that is recognised.~~

- ~~6. The gross asset value of a Fund under Rule 3A.2.1(3)(b) should be calculated as the total value of the Fund Property, based on the most recent valuation under CIR Rule 8.4.1(1).~~
- ~~7. Crypto Tokens that are prohibited from being used in the DIFC, such as Privacy Tokens and Algorithmic Tokens, cannot be recognized by the DFSA (see Rule 3A.3.4(1)).~~
- ~~8. The Recognition of a Crypto Token under this chapter does not relieve an Authorised Person or any other Person from their responsibility to carry out proper due diligence on a Crypto Token before providing a Financial Service or carrying on any other activity relating to the Crypto Token.~~
- ~~9. The DFSA expects that the information about the main characteristics and risks referred to in Rule 3A.2.1(3)(c)(i) include information about:~~
 - ~~a. the rights and obligations conferred by the Crypto Token;~~
 - ~~b. trading history of the Crypto Token, including volumes and prices;~~
 - ~~c. details of the Distributed Ledger Technology or other similar technology used; and~~
 - ~~d. cybersecurity risks associated with the Crypto Token or its underlying technology.~~
2. In carrying out the assessment under Rule 3A.2.1(3)(a), a Person should take into account the nature, scale and complexity of its activities as well as the target market.
3. Rule 3A.2.1A(a) requires a Person to publish certain information in relation to any Crypto Token it has assessed to be suitable. The DFSA expects a Person to consider whether to provide more detailed information, in particular regarding the type of activities and customer base for which they have assessed a Crypto Token to be suitable.
4. The DFSA expects that the regular review of the assessment under Rule 3A.2.1A(b) will be conducted at least once in every six-month period and more frequently where necessary to identify, assess and address any emerging issues in a timely fashion.
5. Where a Fund has exposure to a Crypto Token that is no longer assessed to be suitable, the DFSA expects that the Fund will, under Rule 3A.2.1A(b)(i), divest or otherwise eliminate its exposure to the Crypto Token, typically by means of a sale on an exchange or through automated trading functions (without making a Financial Promotion).
6. GEN section 5.3 sets out system and control requirements that apply to all Authorised Persons. In order to meet those requirements, an Authorised Person, carrying on, or intending to carry on, an activity referred to Rule 3A.2.1(1)(a) to (e) in relation to a Crypto Token should ensure that its systems and controls allow it to comply, on a continuing basis, with Rules 3A.2.1 and 3A.2.1A.
7. The DFSA's Supervisory Guidelines on Assessing the Suitability of Crypto Tokens outlines the DFSA's expectations as to how a Person will typically seek to achieve

compliance with the requirement to assess the suitability of a Crypto Token under Rule 3A.2.1(2)(a).

8. The DFSA's Policy Statement on Fiat Crypto Tokens provides a list of the Fiat Crypto Tokens the DFSA has assessed to be suitable for use in the DFSA along with the criteria the DFSA takes into account when assessing the suitability of a Fiat Crypto Token under Rule 3A.2.1(2)(b).

Use of Privacy Tokens and Devices prohibited

3A.2.2 A Person must not in or from the DIFC:

- (a) carry on a Financial Service relating to a Privacy Token or that involves the use of a Privacy Device;
- (b) make or approve a Financial Promotion relating to a Privacy Token or Privacy Device;
- (c) Offer to the Public a Privacy Token;
- (d) carry on ~~an activity referred to in (a), (b) or (c)~~ any of the following activities in relation to a Fund that invests in a Privacy Token:
 - (i) Managing a Collective Investment Fund;
 - (ii) Providing Trust Services;
 - (iii) Providing Fund Administration;
 - (iv) Acting as the Trustee of a Fund; or
 - (v) an activity referred to in (b) or (c); or
- (e) carry on an activity referred to in (a), (b) or (c) in respect of a Derivative or ~~Instrument~~ instrument relating to a Privacy Token.

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Use of Algorithmic Tokens prohibited

3A.2.3 A Person must not in or from the DIFC:

- (a) carry on a Financial Service relating to an Algorithmic Token;
- (b) make or approve a Financial Promotion relating to an Algorithmic Token;
- (c) Offer to the Public an Algorithmic Token;
- (d) carry on ~~an activity referred to in (a), (b) or (c)~~ any of the following activities in relation to a Fund that invests in an Algorithmic Token:
 - (i) Managing a Collective Investment Fund;
 - (ii) Providing Trust Services;

- (iii) Providing Fund Administration;
- (iv) Acting as the Trustee of a Fund; or
- (v) an activity referred to in (b) or (c); or
- (e) carry on an activity referred to in (a), (b) or (c) in respect of a Derivative or Instrument instrument relating to an Algorithmic Token.

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Money Services Providers restricted from carrying on crypto activities

- 3A.2.5** (1) A Money Services Provider must not:
- (a) use a Crypto Token in connection with providing Money Services, except as provided in (2); or
 - (b) carry on any other Financial Service relating to a Crypto Token.
- (2) A Money Services Provider may use a Fiat Crypto Token in connection with providing Money Services if the Fiat Crypto Token is:
- (a) a Recognised Suitable Crypto Token;
 - (b) used only for the purposes of Money Transmission or executing a Payment Transaction; and
 - (c) sent, held or received in the name of the Money Services Provider and not in the Client's name.

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3A.3 Recognition of a Crypto Token

3A.3.1 ~~Any of the following Persons may apply to the DFSA for a Crypto Token to be recognised in the DIFC:~~

- ~~(a) an Authorised Person;~~
- ~~(b) an applicant for a Licence to be an Authorised Person; or~~
- ~~(c) an issuer or developer of the Crypto Token.~~

3A.3.2 ~~An applicant must apply using the appropriate form specified by the DFSA.~~

3A.3.3 ~~In assessing an application, the DFSA may:~~

- ~~(a) make any enquiries which it considers appropriate, including enquiries independent of the applicant;~~

- (b) ~~require the applicant to provide additional information;~~
- (c) ~~require the applicant to have information on how it intends to ensure compliance with any criteria;~~
- (d) ~~require any information provided by the applicant to be verified in any way that the DFSA specifies; and~~
- (e) ~~take into account any information which it considers relevant in making a suitability assessment.~~

3A.3.4 (1) ~~The DFSA may recognise a Crypto Token if it is satisfied that:~~

- (a) ~~having regard to the matters in (2), the Crypto Token is suitable for use in the DIFC;~~
- (b) ~~it is not a Privacy Token or an Algorithmic Token; and~~
- (c) ~~for a Fiat Crypto Token, all of the requirements in (4) are met in respect of that Fiat Crypto Token (in addition to the criteria in (a) and (b) above).~~

(2) ~~The matters referred to in (1)(a) are:~~

- (a) ~~the regulatory status of the Crypto Token in other jurisdictions, including whether it has been assessed or approved for use by a Regulator in another Recognised Jurisdiction;~~
- (b) ~~whether there is adequate transparency relating to the Crypto Token, including sufficient detail about its purpose, protocols, consensus mechanism, governance arrangements, founders, key persons, miners and significant holders;~~
- (c) ~~the size, liquidity and volatility of the market for the Crypto Token globally;~~
- (d) ~~the adequacy and suitability of the technology used in connection with the Crypto Token; and~~
- (e) ~~whether risks associated with the Crypto Token are adequately mitigated, including risks relating to governance, legal and regulatory issues, cybersecurity, money laundering, market abuse and other financial crime.~~

(3) ~~The DFSA may, in assessing the matters in (2), consider the cumulative effect of factors which, if taken individually, may be regarded as insufficient to give reasonable cause to doubt that the criteria in (1)(a) is satisfied.~~

(4) ~~In the case of a Fiat Crypto Token, the additional criteria referred to in (1)(c) are that:~~

- (a) ~~the Crypto Token is able to maintain a stable price relative to the fiat currency it references;~~

- (b) ~~the reserves:~~
 - (i) ~~are at least equal in value to the notional value of outstanding Crypto Tokens in circulation (that value being calculated by multiplying the number of Crypto Tokens in circulation by the purported pegged fiat currency value);~~
 - (ii) ~~are denominated in the reference currency;~~
 - (iii) ~~are held in assets that are likely to maintain their value, including during periods of stress, are highly liquid, are appropriately diversified and carry minimal credit risk;~~
 - (iv) ~~are valued daily; and~~
 - (v) ~~are held in segregated accounts with properly regulated banks or custodians in jurisdictions with regulation that is equivalent to the DFSA's regime and AML regulation that is equivalent to the standards set out in the FATF Recommendations;~~
 - (c) ~~a person is clearly responsible and liable to investors for the Crypto Token.~~
 - (d) ~~information demonstrating that the reserves meet the criteria in (b) is published at least monthly; and~~
 - (e) ~~the published information referred to in (d) is verified by a suitably qualified third-party professional who is independent of the issuer of the Crypto Token and any persons responsible for the Crypto Token.~~
- (5) ~~In assessing the equivalence of AML regulation under (4)(b)(v), the DFSA may consider, among other things, whether on the basis of reports by credible sources (as defined in AML Rule 6.1.3(2)), such as mutual evaluations, detailed assessment reports or follow-up reports, a jurisdiction:~~
- (a) ~~has AML requirements that are consistent with the FATF Recommendations; and~~
 - (b) ~~effectively implements those Recommendations.~~

Guidance

1. ~~Matters the DFSA may consider under Rule 3A.3.4(2)(a) include:~~
 - a. ~~the jurisdiction(s) where the Crypto Token was established and where its issuers, founders, developers and other key persons and technology are located;~~
 - b. ~~its regulatory status of being green-listed or otherwise approved as suitable for use in other Recognised Jurisdictions;~~
 - c. ~~any history of regulatory examination of the Crypto Token in other jurisdictions and whether any regulatory issues have arisen.~~

2. ~~Matters the DFSA may consider under Rule 3A.3.4(2)(b) include:~~
 - a. ~~the adequacy of public information about the issuer, founders, developers, miners, significant holders and other key persons behind the Crypto Token;~~
 - b. ~~whether white papers set out clearly the purpose, use case and development path for the Crypto Token and how funds raised by offerings have been or will be used;~~
 - c. ~~whether there is public access to the blockchain protocol and the consensus mechanism, publication of smart contract or technology audit reports and records of live updates to the blockchain; and~~
 - d. ~~whether persons associated with private and public keys can be identified, Crypto Token balances and transactions can be traced and devices to create anonymity are not used.~~
3. ~~Matters the DFSA may consider under Rule 3A.3.4(2)(c) include:~~
 - a. ~~the maturity of the market for the Crypto Token, the number of years it has been traded and its trading history across different service providers, markets and jurisdictions;~~
 - b. ~~the total supply of the Crypto Tokens issued, the market capitalisation of the Crypto Tokens, pre-determined schedules for issuing or burning Crypto Tokens and any inflationary or deflationary mechanisms used; and~~
 - c. ~~factors affecting supply and demand for the Crypto Token and transparency about significant events affecting price, volatility levels and returns; and~~
 - d. ~~the market liquidity of the Crypto Token, daily and weekly trading volumes and changes in the liquidity profile in response to market stress.~~
4. ~~Matters the DFSA may consider under Rule 3A.3.4(2)(d) include:~~
 - a. ~~the type of blockchain, access permissions and rights to amend the protocol and consensus mechanisms used and the associated environmental costs;~~
 - b. ~~smart contract availability, endogenous computational capacity, native token features and the ability to host piggyback tokens on the blockchain;~~
 - c. ~~interoperability of the Crypto Token across various blockchains, limitations of transaction validation times and costs on the native blockchain; and~~
 - d. ~~technological solutions to collect user information and monitor and maintain records of transactions and to protect privacy of user information.~~
5. ~~Matters the DFSA may consider under Rule 3A.3.4(2)(e) include:~~
 - a. ~~cybersecurity risks and mitigation controls, any history of hacks and thefts involving the token, near miss events and losses from cyber security failures;~~
 - b. ~~custody risks, systems and controls relating to wallet management and the track record of users being compensated for any operational failures in custody management;~~
 - c. ~~adequacy of measures to ensure compliance with anti-money laundering, counter-terrorist finance and sanctions requirements;~~
 - d. ~~settlement risk and mitigation measures; and~~

- e. operational risk and defence mechanisms, systems and controls to prevent detect and address faulty codes, quality assurance processes and risk reaction systems.
- 6. Matters the DFSA will consider under Rule 3A.3.4(4) include whether:
 - a. price volatility is generally maintained within one percent from the peg and there is minimal market risk associated with the Fiat Crypto Token;
 - b. information published about the reserves provides sufficient clarity about the quality of the assets and how they are held and segregated;
 - c. reserve assets:
 - i. show historical evidence of relative price stability;
 - ii. can be converted easily and immediately into cash at little or no loss of value, taking into account relevant factors such as, degree of subordination, duration and market size;
 - iii. are appropriately diversified in such a way as to avoid undue reliance on any particular asset, issuer or risk factor; and
 - iv. are issued by a person with a high credit standing.

- 3A.3.5** (1) The DFSA may refuse an application to recognise a Crypto Token if it is not satisfied of the matters set out in Rule 3A.3.4.
- (2) The procedures in Schedule 3 apply to a decision of the DFSA under (1) and the DFSA must give the applicant an opportunity to make representations under those procedures.

Guidance

The procedures in Schedule 3 of the Regulatory Law (providing for an affected person to be given an opportunity to make representations) apply to a DFSA decision to refuse an application for a Crypto Token to be a Recognised Crypto Token. However, no right is given under the Rules for an applicant to refer the final decision to the Financial Markets Tribunal.

- 3A.3.6** (1) The DFSA may revoke the Recognised Crypto Token status of a Crypto Token if it is no longer satisfied of the matters set out in Rule 3A.3.4 in respect of the Crypto Token.
- (2) The DFSA may specify that the revocation is to take effect immediately or on a specified future date.
- (3) The procedures in Schedule 3 apply to a decision of the DFSA under (1) and in such a case the DFSA must give the following Persons an opportunity to make representations under those procedures:
- (a) the Person who applied for the Crypto Token to be a Recognised Crypto Token; and
 - (b) each Authorised Person that Operates a MTF or Clearing House relating to the Crypto Token.

Guidance

1. The DFSA may decide to revoke the recognition of a Fiat Crypto Token in a variety of circumstances where it is no longer satisfied that the Fiat Crypto Token meets the criteria for recognition. Without limiting those circumstances, this might include for example a major hacking event, technology failure, fraud, a serious money laundering issue, a lack of verified information about the adequacy of reserves backing a Fiat Crypto Token or the failure of a Fiat Crypto Token to maintain its peg.
2. The procedures in Schedule 3 of the Regulatory Law apply to a DFSA decision to revoke the Recognised Crypto Token status of a Crypto Token. Rule 3A.3.6 specifies the Persons to whom an opportunity to make representations is to be given in such a case. However, there is no right under the Rules for the Person to refer the decision to the Financial Markets Tribunal for review.
3. As the effect of revoking recognition of a Crypto Token is that various activities will not be permitted in the DIFC in relation to the Crypto Token, the DFSA may in appropriate cases allow a period for the orderly winding down of activities and services in the DIFC. This could be for example by specifying that the revocation takes effect on a specified date in the future. This will however depend on the circumstances leading to the revocation.

Publication of information

- 3A.3.7** (1) The DFSA will publish a notice when it recognises a Crypto Token and if it decides to revoke recognition of a Crypto Token.
- (2) The DFSA may publish notice of the fact that an application for recognition of a Crypto Token has been received or that an application has been refused.
- (3) A notice under this Rule may contain such information as the DFSA considers appropriate.

3A.4 Initial list of Recognised Crypto Tokens

DFSA may publish a list

- 3A.4.1** (1) The DFSA may, without the need for an application, publish a list (an Initial List) of Crypto Tokens that are taken to be Recognised by the DFSA.
- (2) The DFSA must publish any Initial List within 30 days of the commencement date (as defined in Rule 10.5.1(1)).
- (3) The DFSA may include a Crypto Token on the Initial List if it is satisfied that the Crypto Token would meet the criteria in Rule 3A.3.4 if an application was made for its recognition.
- (4) The DFSA may amend the Initial List if it is necessary due to a change in the name of a Crypto Token on the list or if there is a fork affecting a Crypto Token on the list and the DFSA is satisfied that one or more Crypto Tokens resulting from the fork should be included on the list.
- (5) The DFSA is not to add a Crypto Token to the Initial List, except as provided in (4) if there is a fork.

- (6) ~~The DFSA may remove a Crypto Token from the Initial List if it is no longer satisfied that it meets the criteria in Rule 3A.3.4.~~
- (7) ~~The DFSA may remove a Crypto Token under (6) immediately or on a specified future date.~~
- (8) ~~The procedures in Schedule 3 apply to a decision of the DFSA under (6) and for the purposes of applying those procedures the DFSA must give an opportunity to make representations to each Authorised Person (if any) that Operates a MTF or Clearing House relating to the Crypto Token.~~

Guidance

1. ~~Rule 3A.4.1 confers on the DFSA a one-off power to issue a list of Recognised Crypto Tokens on the commencement of the regime for the regulation of Crypto Tokens. The list cannot be added to after it is published, and any further Crypto Tokens will be recognised only if an application is made to the DFSA for recognition under section 3A (and the DFSA is satisfied under that section that the criteria for recognition are met). For the purposes of the prohibition in section 3A, a Crypto Token will therefore be a Recognised Crypto Token if it is included on the Initial List published under Rule 3A.4.1 (and has not been removed from that list) or if it has been recognised by the DFSA after an application under section 3A.3.~~
2. ~~The DFSA may remove a Recognised Crypto Token from the Initial List under Rule 3A.4.1(6). The procedures in Schedule 3 of the Regulatory Law apply to such a decision, however, the opportunity to make representations under that Schedule are required to be provided only to an Authorised Person (if any) that operates a MTF or Clearing House for the Crypto Token being removed. No right is provided under the Rules for a Person to refer the decision to the Financial Markets Tribunal for review.~~

3A.5 Recognised Jurisdictions

~~DFSA may recognise jurisdictions~~

- 3A.5.1** (1) ~~The DFSA may recognise a jurisdiction as having a regulatory regime for Crypto Tokens that is equivalent to the DFSA's regime if it is satisfied that:~~
- (a) ~~the legislation in that jurisdiction for regulating Crypto Tokens, and Persons conducting activities or services relating to Crypto Tokens, includes requirements and protections that are at least equivalent to the requirements and protection under the DFSA's regulatory regime for Crypto Tokens and Crypto Business;~~
 - (b) ~~adequate arrangements are in place in that jurisdiction for the licensing by the Regulator of Persons conducting activities or providing services relating to Crypto Tokens and for the assessment and approval by the Regulator of individual Crypto Tokens;~~
 - (c) ~~adequate arrangements are in place in that jurisdiction to ensure that the requirements in (a) are properly supervised and enforced; and~~

- (d) ~~adequate arrangements exist for co-operation between the Regulator in that jurisdiction and the DFSA.~~
- (2) ~~The DFSA may specify that the recognition of a jurisdiction is limited to specific activities or services or specific types of Crypto Tokens.~~
- (3) ~~The DFSA may:~~
 - (a) ~~amend the recognition of a jurisdiction; or~~
 - (b) ~~revoke recognition of a jurisdiction if it is no longer satisfied of the matters set out in (1).~~
- (4) ~~The DFSA will publish a list of jurisdictions that it has recognised under this Rule.~~

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7.2 Application for a Licence

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- 7.2.2** (1) The DFSA will only consider an application for a Licence from a Person who, subject to (2), (4), (5), (6), (7) and (8) is:
- (a) a Body Corporate; or
 - (b) a Partnership;
- and who is not an Authorised Market Institution.

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- (8) An applicant in respect of a Financial Service relating to a Crypto Token may be a Body Corporate incorporated outside the DIFC only if:
 - (a) ~~it was an Authorised Firm before the commencement date (as defined in Rule 10.5.1(1));~~
 - (b) the Financial Service is not:
 - (i) Operating an Alternative Trading System;
 - (ii) Operating a Clearing House;
 - (iii) Providing Custody; or
 - (iv) Dealing as Principal where the applicant is to act as a Market Maker;
 - (c) ~~its head office is licensed to carry on the relevant Financial Service, and supervised, by a Financial Services Regulator in a Recognised Jurisdiction;~~

- ~~(d)~~(c) its head office has arrangements in place to hold adequate regulatory capital against Crypto Tokens held on the balance sheet of the branch;
- ~~(e)~~(d) its head office has cyber security insurance that covers potential losses by the branch; and
- ~~(f)~~(e) where it will Advise on Crypto Tokens, its head office has appropriate professional indemnity insurance that covers advising by the branch.

Guidance

1. Section 2.2.8 of the RPP Sourcebook sets out matters which the DFSA takes into consideration when making an assessment under Rule 7.2.2.
2. A Body Corporate incorporated under the DIFC Companies Law can be a Private Company or a Public Company.

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10 TRANSITIONAL RULES

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10.5 Transitional Rules relating to Crypto Tokens

10.5.1 (1) In this Rule:

- (a) ~~“commencement date” means the day on which Rule-making instrument No. 328 of 2022 comes into force;~~
- (b) ~~“relevant activity or service”, in relation to a Crypto Token, means an activity or service relating to a Crypto Token that on or after the commencement date requires DFSA authorisation as a Financial Service;~~
- (c) ~~“transitional period” means the period starting on the commencement date and ending six months after that date.~~
- (2) ~~This Rule applies to a Person who immediately before the commencement date:~~
 - (a) ~~was an Authorised Person; and~~
 - (b) ~~carried on a relevant activity or service relating to a Crypto Token.~~
- (3) ~~The Authorised Person, may until the end of the transitional period, continue to carry on the relevant activity or service referred to in (2) without:~~
 - (a) ~~obtaining an authorisation from the DFSA for carrying on the relevant Financial Service relating to Crypto Tokens; and~~

- (b) ~~subject to (4), complying with the amendments to Rules that come into force as a result of Rule-making instrument No. 328 of 2022.~~
- (4) ~~The Authorised Person must, during the transitional period, comply with the following requirements relating to the relevant activity or service it carries on:~~
 - (a) ~~Article 41B of the Regulatory Law;~~
 - (b) ~~Chapter 2 of Part 4 of the Regulatory Law;~~
 - (c) ~~Part 6 of the Markets Law;~~
 - (d) ~~Rule 3A.2.2 of GEN;~~
 - (e) ~~chapter 3 of GEN;~~
 - (f) ~~section 4.2 of GEN;~~
 - (g) ~~the AML Module.~~
- (5) ~~The DFSA may require:~~
 - (a) ~~an Authorised Person to provide confirmation that it was carrying on a relevant activity or service before the commencement of the transitional period; and~~
 - (b) ~~the confirmation referred to in (a) to be in such form and verified in such manner as it thinks fit.~~

Guidance

1. ~~Section 10.5 allows some Authorised Persons to continue to carry on certain activities or services relating to Crypto Tokens for a transitional six month period after the commencement date without being required to obtain the necessary amendment to its authorisation or to comply with various detailed requirements relating to Crypto Tokens.~~
2. ~~However, the transitional relief only applies to persons who immediately before the commencement date were authorised by the DFSA and were in fact already carrying on the activities or services relating to Crypto Tokens. That is, it does not apply to persons who were not authorised or not carrying on the activities or services before that date. The DFSA may require confirmation from an Authorised Person that it was in fact carrying on the activities or services before the commencement date.~~
3. ~~The transitional relief does not relieve the Authorised Person from complying with certain key obligations during the transitional period in respect of the activities or services it carries on under the transitional arrangements. For example, the Authorised Person must comply with the Principles for Authorised Firms, Financial Promotion requirements, Market Abuse provisions, provisions prohibiting misconduct (e.g. misleading, deceptive, fraudulent or dishonest conduct) and the prohibition relating to the use of Privacy Tokens. Further, the Authorised Person must comply with all anti-money laundering requirements which apply not only under the DFSA's AML Rules but also under Federal Legislation.~~
4. ~~An Authorised Firm that can use the transitional arrangements will need to obtain the necessary authorisations relating to the Crypto Tokens by the end of the transitional~~

period. If it does not do so, it will need to cease carrying on the relevant activities or services after the transitional period.

10.5.1

(1) In this Rule:

- (a) “Commencement Date” means the day on which Rule-making instrument No. [insert number/year], comes into force;**
- (b) “Current Regime” means the provisions in GEN chapter 3A as in force on the Commencement Date;**
- (c) “Previous Regime” means the provisions in GEN chapter 3A as in force immediately before the Commencement Date; and**
- (d) “Transitional Period” means the period starting on the Commencement Date and ending three months after that date.**

(2) Subject to (3), a Crypto Token, other than a Fiat Crypto Token, which was recognised by the DFSA under the Previous Regime is during the Transitional Period deemed to be a Suitable Crypto Token under the Current Regime.

(3) If during the Transitional Period a Person using a Crypto Token that is deemed to be a Suitable Crypto Token under (2) becomes aware of any significant event or development that reasonably suggests that the Crypto Token no longer meets the criteria referred to in Rule 3A.3.4 of the Previous Regime:

- (a) paragraph (2) ceases to apply; and**
- (b) the Person must take the actions referred to in Rule 3A.2.1A(b)(i) in relation to that Crypto Token.**

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11 SUPERVISION

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11.10 Notifications

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~~Significant events affecting Crypto Tokens~~

~~11.10.21 (1) This Rule applies to an Authorised Person that carries on a Financial Service relating to a Crypto Token.~~

~~(2) The Authorised Person must notify the DFSA immediately if it becomes aware of any significant event or development that reasonably suggests that the Crypto Token no longer meets the criteria referred to in Rule 3A.3.4 for it to be a Recognised Crypto Token.~~

- (3) ~~A notification is not required under (2) if the Authorised Person reasonably believes that the information is already generally available to the public.~~

Guidance

1. ~~The DFSA would not normally expect an Authorised Person to carry out daily monitoring of whether a Crypto Token continues to meet the eligibility criteria for recognition. Rather, if the Authorised Person becomes aware of a significant event or development during the normal course of its business, it should inform the DFSA. There may, however, be certain services where an Authorised Person may be either required or more likely to be aware of developments relating to a Crypto Token. For example, this might occur where an Authorised Firm operates a MTF that trades the Crypto Token, acts as a Market Maker for the Crypto Token or is involved in the development, offer or marketing of the Crypto Token. In such situations the DFSA would expect the Authorised Person to have greater knowledge and awareness of developments relating to the Crypto Token and therefore to be more likely to report adverse events or developments.~~
2. ~~As set out in the Guidance under Rule 3A.2.1, the DFSA's recognition of a Fiat Crypto Token does not relieve an Authorised Person of its obligation to conduct adequate due diligence on the Crypto Token both before and when carrying on an activity or service relating to the Crypto Token.~~

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14 FIXED PENALTY NOTICES

14.1.1 The following Rules are subject to a Fixed Penalty Notice:

- (a) AMI Rules 8.2.9(1), 9.6.1, 9.6.3 and 9.6.4;
- (b) AML Rule 14.5.1;
- (c) AUD Rule 4.8.1;
- (d) CIR Rules 9.4.2(1), 9.6.2 and 15.1.10(1);
- (e) COB Rules 14.5.1(2)(b), 15.4.6(2) and 15.8.1(2)(b);
- (f) GEN Rules 3A.2.1A(d), 8.6.2 and 11.8.12(1);
- (g) PIB Rules 2.3.8(1), 2.3.8(2), 10.3.2(3) and 10.4.2(3);
- (h) PIN Rules 6.5.1, 6.5.5, 6.5.7, 6.6.2(1), 7.2.3(1), 7.3.5, 8.5.2, 8.5.3 and 9.4.10; and
- (i) REC Rule 3.5.1.

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APP2 INVESTMENTS AND CRYPTO TOKENS

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A2.5 Definitions relating to Crypto Tokens

Guidance

1. This section defines when a Token is a “Crypto Token” or an “Excluded Token”. A Token is defined in GLO as a cryptographically secured digital representation of value, rights or obligations, which may be issued, transferred and stored electronically using DLT or other similar technology.
2. In summary, a Token is a Crypto Token if it is used, or intended to be used, as a medium of exchange or for payment or investment purposes (or it confers a right or interest in such a Token) and it is not an Investment Token or other Investment (see Rule A2.1.1) or an Excluded Token (see the definition in Rule A2.5.2 below).
3. The following diagram illustrates the different classification of Tokens:

Tokens				
Investment Tokens	Crypto Tokens			Excluded Tokens
	Recognised Tokens	Unrecognised Tokens	Prohibited Tokens:– • Privacy Tokens • Algorithmic Tokens	• Non-Fungible Tokens • Utility Tokens • Digital currencies issued by Governments
<i>Financial Services can be carried on in the DIFC subject to compliance with DFSA regulatory requirements</i>	<i>Financial Services can be carried on in the DIFC subject to compliance with DFSA regulatory requirements</i>	<i>Financial Services cannot be carried on in the DIFC unless and until recognised by the DFSA (unless providing custody and in relation to certain types of Domestic Funds that invest in Crypto Tokens)</i>	<i>Prohibited from being used in the DIFC</i>	<i>Use not regulated in the DIFC except:</i> – <i>some issuers or service providers of NFTs and Utility Tokens must be registered as a DNEBP for AML purposes</i> – <i>an Authorised Person cannot carry on both Crypto-Token Business and business relating to NFTs and Utility Tokens (unless providing custody)</i>

Crypto Token

A2.5.1 (1) A Token is a Crypto Token if it:

- (a) is used, or is intended to be used, as a medium of exchange or for payment or investment purposes; or
- (b) confers a right or interest in another Token that meets the requirements in (a).

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Non-Fungible Token (NFT)

A2.5.3 A Token is a Non-Fungible Token (NFT) if it:

- (a) is unique and not fungible with any other Token;
- (b) related to an identified asset; and
- (c) is used to prove the ownership or provenance of the asset.

Guidance

1. A Non-Fungible Token (NFT) is a Token that relates to an identified asset such as art, music, a collectable item, intellectual property relating to an object or some other specific asset. To fall within the definition in Rule A2.5.3 the Token must be unique and not fungible with another Token. Therefore, if a particular type of Token is issued to multiple persons or relates to several different assets, it is unlikely to qualify as a NFT under Rule A2.5.3 and therefore will not be an Excluded Token under Rule 2.5.2. If it is not a NFT, as defined, it is likely to fall within the definition of a Crypto Token or may, depending on the arrangements, constitute a Collective Investment Fund (in which case the Token will be a Unit of that Fund).
2. The DFSA will take a substance over form approach in considering whether a Token that calls itself a NFT is in fact a NFT under the above definition. If it is not a NFT, as defined, and is a Crypto Token, a person should not carry out a Financial Service relating to that Token unless they are licensed to do so, and it is a ~~Recognised~~ Suitable Crypto Token.

Example 1

An individual artist has created a Token that represents a one-of-a-kind piece of art. This Token is to be sold by auction. The owner will then be able to sell the Token to a new owner, should they wish to do so. This Token would be a NFT.

Example 2

Company A invests in art using the funds it receives and pools from investors. It then issues Tokens to those investors in proportion to their contributions. The Tokens also entitle the holders to receive a share of the fees generated by art rental, and the profits if the art sells. They have no control over the decisions taken by Company A in respect of the art. These Tokens are likely to constitute Units in a Collective Investment Fund.

Example 3

A NFT is created which tracks the price of a certain commodity, precious stone or gold or a security. In this case, it is likely to be an Investment or Investment Token such as a Unit of a Fund or a Derivative.

Utility Token

A2.5.4 A Token is a Utility Token if:

- (a) it can be used by the holder only to pay for, receive a discount on, or access a product or service (whether current or proposed); and
- (b) the product or service referred to in (a) is provided by the issuer of the Token or of another entity in the issuer's Group.

Guidance

A Token will be a Utility Token only if it can be used by the holder to pay for, receive a discount on, or access a product or service (whether current or proposed), and the product or service is provided by the issuer of the Token or of another entity in the issuer's group. However, if at any time during the lifecycle of a Token, it can be used for other purposes, for example, as a medium of exchange or for payment or investment purposes, its hybrid nature is likely to result in it falling outside the scope of the above definition. If this is the case, it is likely to be a Crypto Token, and a person should not carry out a Financial Service relating to that Token unless they are licensed to do so, and it is a Recognised Suitable Crypto Token. Alternatively, if the Token has characteristics substantially similar to an Investment, it may be classified as an Investment Token. For further information about when a Token is an Investment Token, and the applicable requirements, see APP6.

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